COFFEE SHOP BASECAMP — 8-WEEK COHORT

The Numbers Behind a Healthy Coffee Shop

This sheet covers the benchmarks to aim for, the terms you'll need to know, and how money typically moves through a coffee shop day. Keep it open while you build your model.

📋 Week 2 — Key Financial Numbers Reference Sheet

The four benchmarks that matter most

Healthy coffee shops are built around these four numbers. Use them as a reality check when you're filling in your model. They're not rules — they're warning lines.

RENT RULE

Rent as a share of revenue

≤10% of revenue

If your rent is $4,000 a month, you need to bring in at least $40,000 a month to stay within this range. This is the single most important number to check before you fall in love with a space.

⚠️ If you're above 12–15%, rent will likely squeeze everything else — even when all your other numbers look fine.

LABOUR RULE

Staff costs as a share of revenue

30–35% ceiling

This includes wages, payroll taxes, and any staff benefits. Specialty shops with highly trained baristas often run a little higher. Grab-and-go shops with simpler menus can often stay lower.

⚠️ Going above 38–40% on staff costs is very hard to recover from unless your average customer spend is unusually high.

COST OF GOODS

What it costs to make what you sell

25–32% of revenue

This covers beans, milk, syrups, cups, lids, and any other ingredients — including what gets wasted. Specialty shops tend to run higher here because of bean cost and more complex drink preparation.

⚠️ Milk waste is one of the most under-tracked costs in coffee shops. Even a small amount wasted per drink adds up significantly across hundreds of drinks a day.

HEALTHY TARGET

What you actually keep (net profit)

10–15% is strong

After every single cost — rent, staff, ingredients, insurance, everything — a well-run independent coffee shop should aim to keep 10 to 15 cents of every dollar it brings in. Many new shops don't reach this in year one, and that's okay — as long as you can see the path there.

⚠️ 5% net profit still means the business is working. Below that leaves almost no room for anything to go wrong — and something always does in year one.

How money moves through your day

Most coffee shops don't earn evenly across the day. Understanding this will help you build a more realistic model — and make better decisions about staffing and opening hours.

TIME BLOCK	WHAT'S USUALLY HAPPENING	WHAT TO THINK ABOUT IN YOUR MODEL
Morning Rush 6:30 – 9:30am	Your busiest and most important window. Commuters, school runs, people getting to work. Average spend per customer is often lower (coffee only) but you're serving a lot of people quickly.	This window is often 50–70% of your daily revenue, compressed into two to three hours. It's worth spending time modelling this one carefully.
Mid-Morning 9:30 – 11:30am	Slower pace. Remote workers, parents with young kids, people not in a rush. Customers are more likely to stay a while and order more than just a coffee.	Lower volume but often higher spend per person. If you're selling food, this is a good window for it.
Lunch 11:30am – 1:30pm	Depends a lot on your setup. Shops with food can do well at lunch. Coffee-only shops often see a dip. Drive-throughs may pick up again around this time.	If you're not serving food, don't over-project this window. It's one of the most common mistakes in a first financial model.
Afternoon 1:30 – 4:30pm	Quieter than the morning, but the 2–3pm coffee crowd is real. Good for regulars. Co-working style shops often stay consistently busy through the afternoon.	Model this time slot conservatively unless you have a specific reason to expect good afternoon traffic — like being near schools, a university, or having a strong co-working crowd.
Late Afternoon / Close 4:30pm onwards	Usually the quietest time. Most independent shops close between 5 and 6pm. Unless you're near evening venues or deliberately running evening trade, this window is thin.	Be honest about whether staying open later actually pays. The cost of keeping staff on for an extra two hours is often not covered by the extra sales in that window.

Words you'll need to know

These terms come up in your model and in the live call. Plain-language definitions — no finance background needed.

TERM	WHAT IT MEANS IN PLAIN LANGUAGE
Average Ticket	The average amount a single customer spends per visit. Someone who orders a flat white and a muffin has a higher average ticket than someone who orders just a coffee. This number drives your revenue calculations more than almost anything else.
Break-Even Point	The amount of money you need to bring in each month just to cover all your costs — before making any profit. If you bring in exactly your break-even, you haven't lost money, but you haven't made any either.
COGS	Cost of Goods Sold — everything it costs to make what you sell. For a coffee shop, that's beans, milk, syrups, cups, lids, and any other ingredients. It does not include rent or wages.

TERM	WHAT IT MEANS IN PLAIN LANGUAGE
Gross Profit	What's left after you subtract your ingredient and product costs (COGS) from your revenue. If you bring in $10,000 and your ingredient costs are $3,000, your gross profit is $7,000. This is before rent, wages, or any other costs.
Net Profit	What's left after you subtract every cost — ingredients, rent, staff, insurance, supplies, everything. This is the actual money the business made. It's the number that matters most in the long run.
Startup Costs	The one-time costs to get your shop open — equipment, fit-out, signage, opening stock, deposits, permits, and fees. These are separate from your ongoing monthly costs. They're the upfront investment before you open the door on day one.
Throughput	How many customers you can physically serve per hour. A grab-and-go shop in a busy location might serve 40 people in an hour. A specialty shop with complex, made-to-order drinks might serve 15. Your throughput sets a ceiling on how much revenue you can earn in any given hour.
Seat Turns	How many different customers use the same seat in a day. A shop open for 8 hours where most people stay 30 minutes could see up to 16 seat turns. The more turns per seat, the more revenue a given space can generate.
Daypart	A block of the day — morning, midday, afternoon. Most coffee shops make the majority of their money in the morning daypart. Understanding how your revenue splits across the day helps you plan your staffing and stock more accurately.
Yield	How much usable product you actually get from what you buy. A bag of coffee beans doesn't all end up in cups — there's waste from grinding, bad shots, and spills. Building yield into your model makes your ingredient cost calculations more accurate.
Owner's Draw / Owner's Wage	The money you pay yourself for working in the business. This has to be in your model as a cost — just like any other employee. A shop that only "breaks even" because the owner isn't paying themselves is not actually breaking even.

The most common first-model mistakes

These come up in almost every first-pass financial model. Go through yours and check each one before the live call.

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Assuming you'll be busy straight away

Most first models assume you'll hit close to full capacity quickly. In reality, it takes 6–12 months to build a regular customer base. Try modelling a gradual build: around 40% of your target volume in month one, growing slowly month by month.

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Forgetting milk and ingredient waste

Milk is often the second biggest ingredient cost after coffee — and it's easy to leave out of a model. Add at least 10–15% extra to your ingredient estimates to account for waste. It's happening in every busy shift, every day.

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Underestimating what it costs to open

Equipment, fit-out, deposits, and opening stock almost always come in higher than planned. Add a 15–20% buffer on top of your best estimate. Surprises are not a matter of if — they're a matter of when.

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Leaving your own wage out of the model

If you plan to work in the shop — and most owners do, especially early on — your labour is a real cost and it belongs in the model. A business that only breaks even because the owner isn't being paid isn't actually breaking even.

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Ignoring slower months

Many shops have a quiet season. A 12-month model needs to show the quieter months honestly — not just repeat the average month twelve times. If you're not sure what your slow season is, look at the shops in your area or ask someone who's been running one nearby.

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Missing small recurring costs

Music licensing, software, card processing fees, cleaning supplies, and minor repairs all add up. These are easy to forget individually, but together they can total $500 to $1,000+ a month. The Startup Costs Checklist has a section for these.

💡 **A note on what these numbers mean for your specific shop type**

These benchmarks apply broadly to independent coffee shops — but they shift depending on your model. Specialty shops typically run higher ingredient costs and sometimes higher labour because of the skill involved. Grab-and-go shops can run leaner on labour but are heavily dependent on volume. Hybrid café and food shops have more moving parts and often lower food margins than people expect. If you're unsure how your shop type affects these numbers, bring that question to the live call. It's a good one.